HEADNOTE

"(i) Under Art. 74(2) UPCA, an appeal against a decision on actions or counterclaims for revocation has automatic suspensive effect, without the need for a decision by the Court of Appeal. It reflects the specific nature and effects of validity decisions, which apply erga omnes and are not confined to the legal relationship between the parties to the proceedings, and preserves the legal status of the patent while the decision on its validity remains subject to an appeal proceeding. By contrast, under Art. 74(1) UPCA, suspensive effect may be granted by the Court of Appeal, upon a motivated request, where the circumstances of the case justify a departure from the general rule.
(ii) As an exception to a general rule, Art. 74(2) UPCA shall be given an application limited to its purpose and may not extend beyond its scope, from which it follows that, in case of an appeal against a decision on actions or counterclaims for revocation, the suspensive effect shall be limited to said decision.
(iii) A decision on actions or counterclaims for revocation pursuant to Art. 74(2) UPCA refers to the substantive ruling by the Court on the issue of validity and its decision to revoke, or not, a patent. Although such a decision of the CFI may be part of a broader decision deciding other matters in the same case, the automatic suspensive effect of an appeal pursuant to Art. 74(2) UPCA remains limited to the part of the decision deciding on the validity of the patent and, if so ordered, its revocation.
(iv) A decision on costs pursuant to Art. 69 UPCA and R. 150 ff RoP may not benefit from the automatic suspensive effect provided for under Art. 74(2) UPCA, even where the cost decision relates to proceedings in a claim for revocation of a patent.
(v) When exercising its discretionary power to stay proceedings pursuant to R. 295 RoP, the Court shall consider the balance of interests of the parties and the specific circumstances of the case. When doing so in the context of a (counter)claim for revocation, the Court may, subject to the circumstances of the case, take into account the suspensive effect in the revocation proceedings."

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KEYWORDS

The Court of Appeal Luxembourg ruled on an appeal against a cost decision. The patent at issue relates to the use of substituted aminopropionate compounds in treatment of SARS-CoV-2 infection. According to the headnotes of the decision, appeals against revocation decisions have automatic suspensive effect under Article 74(2) UPCA. This effect applies without requiring a separate Court of Appeal decision. The rule reflects the unique nature of validity decisions, which bind all parties beyond the dispute. Therefore, automatic suspension preserves the patent's legal status during the appeal process. However, Article 74(1) UPCA allows the Court to grant suspensive effect in other cases only upon motivated request. This requires that the circumstances genuinely justify departing from the normal rule. As an exception to general principles, Article 74(2) UPCA must be applied narrowly and only within its scope. This means automatic suspensive effect in revocation appeals is limited to the revocation decision itself. In particular, when a Court of First Instance decision addresses multiple matters, only the validity ruling receives automatic suspensive effect on appeal. Additionally, cost decisions made under Article 69 UPCA do not benefit from automatic suspensive effect. This applies even when costs relate directly to revocation proceedings. Furthermore, when the Court exercises discretion to stay proceedings under the Rules of Procedure, it must balance the parties' interests carefully. In this context, the Court may consider the suspensive effect already present in revocation cases.